

CAEC 506: Macroeconomics

Classification: Core

Number of Credits: 3

Semester: 2

1. *Course Objectives*

The aim of this course is to expose students to different approaches in macroeconomics, develop critical perspective in theory and application of macroeconomic theory.

The objectives of the course are:

- To develop a thorough knowledge of different approaches in macroeconomics;
- Develop a critical perspective in macroeconomics theory and applications;
- Expose students to the nature and importance of linkages between agriculture and the macroeconomy; and
- Examine theories and methods applied in developing countries

2. *Expected Learning Outcomes*

At the end of the course students should be able to:

- Demonstrate an understanding of the structure of a macroeconomic system and the underlying theoretical framework as well as controversies and debates;
- Apply methodology and techniques used in conceptualizing macroeconomic issues;
- Analyse relevant macroeconomic policies and issues, especially those that relate to agriculture; and
- Evaluate macroeconomic policies and their impacts in contemporary developing countries.

3. *Prerequisites*

Students are required to have completed at least intermediate macroeconomics at undergraduate level. In addition, students are required to have knowledge of mathematical economics, especially matrix algebra and differential calculus. Those not meeting these prerequisites will be required to take remedial courses.

4. *Thematic Plan*

Topic	Contact Hours				Independent Study	Total Hours
	Theory	Seminar	Practical /Tutorials	Sub-total		
1. Review of macroeconomics and Keynesian Economics	3		0	3	15	18
2. IS-LM model, extension and microeconomic foundations of macroeconomics,	5		2	7	24	31
3. Open macroeconomic theory	5		1	6	15	21
4. Consumption, Savings, Investment Theories, and applications	6		2	8	18	26
5. Growth models and SAM	6	0	3	9	27	36
6. Business cycle theories and application to agriculture	5		1	6	18	24
7. Labour market, inflation and unemployment	5	0	1	6	18	24
Total	35	0	10	45	135	180

5. *Detailed Description of Topics*

Topic 1: Review of Basic Macroeconomics (Comparative Statics) and Keynesian theory

- The development of macroeconomics, historical development.
 - The success and failures of Keynesian economics;
 - The circular flow of income and national income determination;
 - Equilibrium analysis – market clearing, microeconomic foundations.
- Keynesian Consumption and Savings functions and Multiplier
 - Keynesian treatment of labour markets
 - Liquid Preference Theory
 - Liquidity Trap and Monetary Policy
 - The economics of less than full employment.

Topic 2: IS-LM Model, Extensions, and Foundations of Macroeconomics

- Endogenous investment and integration of goods market and money market
 - Endogenous investment
 - The IS curve and product market
 - The LM curve and the money market
 - Integrating goods and money market

- Determination of interest rates in the goods and money market
- Fiscal and Monetary policy in IS-LM framework
 - Comparative static analysis – shifts in the IS function
 - Comparative static analysis – shift in the LM function
 - Fiscal and monetary multipliers
 - Fiscal policy and crowding-out process
 - Effectiveness of monetary policy
 - Neo-Classical version of IS-LM model
- The Lucas Critique and rational expectations
 - New Classical Macroeconomics
 - Static and rational expectations
 - The Lucas Critique
 - Sticky wages and prices
 - Policy ineffectiveness with rational expectations
- New Keynesian Economic Theory
 - Nominal and real rigidities
 - Capital market imperfections and asymmetric information

Topic 3 : Open Macroeconomic Theories

- Contrast between closed and open economy IS-LM model
 - The BP line
- The IS-LM-BP model of an open economy, floating and fixed exchange rates, the Mundell-Fleming model
 - Effect of changes in exchange rates on a country's international transactions, and balance of payments
 - Balance of payments theories: elasticities, absorption and the monetary approaches.
 - The Dutch disease, two sector dependent model
 - Parallel foreign exchange markets and the unification problem
 - Trade liberalisation and the macroeconomy
- The aggregate demand and supply model of an open economy
 - Features of international trade and borrowing

Topic 4: Consumption, Savings, and Investment Theories and Application in Agriculture

- Keynesian Consumption Function
 - Factors affecting consumer spending
 - Factors affecting consumer savings
 - Functional relationship between desired consumption and saving
- Permanent Income Hypothesis
 - Effect of temporary change in income
 - Effect of permanent change in income
- Life Cycle Hypothesis (Modigliani), and the Role of Wealth-Kuznet's Paradox
 - Relationship between income-consumption and age of a person
 - Relationship between savings and age of a person
- Overlapping Generations Model
 - Relationship between a person's accumulation of capital stock and age
- Altruistic Motive and Bequests to Children Motives (Harry Becker and Robert Barrow) Deficit Financing and Saving, and Ricardian Equivalence

- Fiscal Policy and features
- Ricardian Equivalence proposition
- Business Fixed Investment and Capital Stock Adjustment, Tobin's 'q' ratio, the acceleration theory of investment
 - Determination of the desired stock of capital
 - Functional and graphical relationships between investment and capital stock, and marginal product of capital.
- Deficit financing and crowding out process

Topic 5: Growth Models and Social Accounting Matrix

- Background to economic growth analysis, the Harrod-Domar model
- The neoclassical growth model
 - Changes in the saving rate
 - Population growth and technical progress
 - Application to performance of African Economies
- The endogenous growth model
 - Application to African Economies
- Social accounting Matrix framework and analysis
 - Income and asset distribution strategies

Topic 6: Business Cycle Theories and Applications

- Measurement of business cycles
- Theories of fluctuations
- Empirical applications

Topic 7: The Labour Market, Inflation, and Unemployment

- Inflation and unemployment: the Phillips curve; rational expectations.
 - Efficiency wages
 - Wage rigidity and unemployment
 - Labour heterogeneity
 - Minimum wages and unemployment
- Segmented labour markets in Developing countries
- Unemployment and inflation in African economies

6. *Mode of Delivery*

The delivery methods will include lectures and tutorials.

7. *Assessment Method*

Assessment shall be a combination of a test, a term paper and two assignments. There will also be a final examination whose weight shall be 50% of the total assessment. The distribution of the rest of the 50 percent of the continuous assessment shall be, 20 percent for test and assignments and 30 percent for term paper. The timing of each assessment is left to the individual lecturer so as to maintain some flexibility.

8. *Course Materials*

a) *Required Textbooks*

- Agenor, P. and P.J. Montiel. 2000. Development Macroeconomics, Princeton University Press.

- Blanchard, O. 2003. *Macroeconomics* (Third Edition) Prentice Hall.
- Branson, W.H. 1989. *Macroeconomic Theory and Policy*. Harper & Row Publishers, New York (Third Edition)
- Romer, D. 2001. *Advanced Macroeconomics*, 2nd Ed. New York: McGraw Hill

b) Further Readings

- -Andrew, Abel B. and Ben S. Bernanke. 2004. *Macroeconomics* 5th Edition. Addison Wesley, Chapters 4 and 5.
- -Branson, William H. 1989. *Macroeconomics: An Introduction to Keynesian-Neoclassical Controversies*, English Language Book Society (ELBS and Macmillan). Chapter 2.
- -Chowdhury, A. and C. Kirkpatrick.. 1994. *Development Policy and Planning: An Introduction to Models and Techniques*, London and New York: Rutledge.
- -Collier P. and ? Lal, 1986. *Labour and Poverty in Kenya 1980-1990* Clarendon Press
- -Dixit, A and R. Pindyck. 1994. *Investment under Uncertainty* New Jersey, Princeton University Press.
- -Deaton, A. 1989. Saving in Developing Countries: Theory and review." *Proceedings of the World Bank Annual Conference on Development Economics*, pp. 61-96. Also at www.worldbank.org.
- -Dornbush, R., S. Fisher and R. Startz. 2000. *Macroeconomics*, 8th Edition. Irwin:McGraw-Hill.
- -Elbadawi, I. A. 1996. "Consolidating Macroeconomic Stabilization and Restoring Growth in Africa," in BennoNdulu, et al. 1996. *Agenda for Africa's Economic Renewal*, Oxford: Transaction Publishers.
- -Freidman, M. 1957. *A Theory of the Consumption Function*, Princeton: Princeton University Press.
- -Geest, W.V.D. Ed. 1984. *Negotiating Structural Adjustment in Africa*. London: Great Britain by Villiers Publications.
- -Goldsmith, A.A. 1998. Institutions and Economic Growth in Africa. *African Economic Policy Paper*.
- - Heijdra, B.J. and F. van der Ploeg. 2002. *The Foundations of Modern Microeconomics*. Oxford: University Press.
- -Jha, Raghendra. 1994. *Macroeconomics for Developing Countries*. London: Rutledge.
- -Jones, C.I.(2002. *Introduction to Economic Growth*.2nd Ed. New York, WW Norton.
- -Hugon, P.1990. *Economic Growth and Adjustment in Central Africa*. Upper Monclair: Centre for Economic Research of Africa.
- Huseyin, S. 1996. Social Accounting Matrix (SAM) and its applications for Macroeconomic Planning.Unpublished assessed article, Bradford University, DPPC, Bradford, UK.
- IMF 1997. "Exchange Rate Arrangements and economic performance in developing countries" Chapter 4 in *IMF World Economic Outlook* Washington: IMF.
- Kanbur R. and ? Mazumdar Eds. 1991. *Labour Markets and Adjustment*. Economic Development Institute, The World Bank.
- King, B.B. 1988. What is SAM? In Pyatt, G & Round, J.I. (Ed), *Social Accounting Matrix: A Basis for Planning*, Washington, D.C: The World Bank.

- Khan M.S and C. Reinhart 1990. *"Private Investment and Economic Growth in Developing Countries"* World Bank, January, p.19.
- Laidler. D.E.W. 1993. *The Demand for Money: Theories, Evidence and Problems*, 4th Edition, New York: Harper Collins.
- Little, I.M.D.; R.N. Cooper; W.M. Corden and S, Rajapatiran. 1993. *Boom, Crisps and Adjustment: The Macroeconomic Experience of Developing Countries*. Oxford University Press.
- Lundahl. M and B.J. Ndulu, Eds. 1996. *New Directions in Development Economics: Growth, Environmental Concerns, and Government in the 1990s*. London and New York: Rutledge.
- Mankiw G.N, 2003. *Macroeconomics* 5th Edition Worth Publishers.
- McPherson, M.F. Ed. 2002. *Restating and Sustaining Growth and Development in Africa. Cambridge: Equity and Growth through Economic Research: EAGER*.
- Mwega, F. and V. Seshamani, Eds. 1997. *Economic Management in Sub-Saharan Africa: Lessons from the 1970s and the 1980s and prospects for the 1990s and beyond*. Nairobi: East African Educational Publishers.
- Pindyck, Robert S. and Andres Solimano. 1993. *Economic Instability and Aggregate Investment*, NBER Macroeconomic Instability and Aggregate Investment," *NBER Macroeconomic Annual* 8, pp.259-303.
- Sachs J.D and Felipe, B Larraine, 1993. *Macroeconomics in the Global Economy*. Englewoods Cliffs, NJ: Prentice-Hall.
- Sahn, D.E. Ed. 1994. *Adjusting Policy Failure in African Economies*. Ithaca: Cornell University Press.
- Schwartz, E. and L. Trigeorgis. 2001. *Real Options and Investment under Uncertainty: Classical Readings and Recent Contributions*. Cambridge, Mass.: MIT Press.
- Simon, D, W. van Spengen: Dixon and A. Narman Eds. 1995. *Structurally Adjusted Africa: Poverty, Debt and Basic Needs*. London: Pluto Press.
- Snowdon, B., H. Vane and P. Wynarczyk, 1994. *A Modern Guide to Macroeconomics-An Introduction to Competing School of Thought*, Edward Elgar.
- Stewart, F; S. Lall and S. Wangwe Eds. 1992. *Alternative Development Strategies in Sub-Saharan Africa*. London: Macmillan Press.
- Tarp, F. 1993. *Stabilisation and Structural Adjustment: Macroeconomic frameworks for analysing the Crisis in sub-Saharan Africa*. London: Routledge.
- Taylor, J.B. and Michael M. Woodford, Eds, 1999. *Handbook of Microeconomics*, 927-1007. Amsterdam. Elsevier.

c) **Internet Sources**

www.worldbank.org
<http://www.imf.org>
<http://bris.ac.uk/Depts/Economics/Growth/>
<http://www.igc.apc.org/dgap/>

d) **Case studies**

- Chhibber, A. and N. Shafiq. 1992, "The Inflationary Consequences of devaluation with Parallel Markets: The Case of Ghana," In Carbo,

Stanley Fischer, and S. Webb, Eds. (1992), *Adjustment Lending Revisited*. Washington, D.C: The World Bank.

- Kwanashie, M.; A-G. Garba and I. Ajilima. 1997. *Policy Modelling in Agriculture: testing the Response of Agriculture to Adjustment Policies in Nigeria*. March
- Jebuni C.D., N.K, Sowa and K.S. Tutu 1991. "Exchange Rate Policy and Macroeconomic Performance in Ghana" *AERC Research Paper* No. 6.
- Mwase, N. 1998. *Economic Liberalisation and Privatisation of Agricultural Marketing and Input Supply in Tanzania: A Case Study of Cashew Nuts*. African Economic Research Consortium